

LW5303: COMMERCIAL CONTRACTS

Effective Term

Semester B 2025/26

Part I Course Overview

Course Title

Commercial Contracts

Subject Code

LW - Law

Course Number

5303

Academic Unit

School of Law (FL)

College/School

School of Law (FL)

Course Duration

One Semester

Credit Units

3

Level

P5, P6 - Postgraduate Degree

Medium of Instruction

English

Medium of Assessment

English

Prerequisites

Nil

Precursors

Nil

Equivalent Courses

Nil

Exclusive Courses

Nil

Part II Course Details

Abstract

This course is designed to provide non-exempt postgraduate students (generally those without a formal legal background) with an intensive introduction to the theory and principles of contract law in both domestic and international settings,

along with its practical application in arbitration and alternative dispute resolution (ADR). Active participation, thorough preparation, and diligence both in class and in completing assessment tasks are crucial for mastering the course material and progressing to higher-level courses within the Master of Laws in Arbitration and Dispute Resolution (LLMArbDR) programme.

Course Intended Learning Outcomes (CILOs)

CILOs		Weighting (if app.)	DEC-A1	DEC-A2	DEC-A3
1	Identify and explain principles of contract law as well as the relationship between different contract law components.		x	x	x
2	Resolve contract law problems by: - Reading and interpreting commercial contract law cases - Understanding relevant statutes - Linking contractual interpretation with its commercial context - Conducting independent legal research to solve problems - Developing arguments by the use of appropriate legal authorities		x	x	x
3	Use legal principles, doctrines in the law of contract and the policy objectives of the law to analyse commercial contracts and critically evaluate the process followed in doing so.		x	x	x

A1: Attitude

Develop an attitude of discovery/innovation/creativity, as demonstrated by students possessing a strong sense of curiosity, asking questions actively, challenging assumptions or engaging in inquiry together with teachers.

A2: Ability

Develop the ability/skill needed to discover/innovate/create, as demonstrated by students possessing critical thinking skills to assess ideas, acquiring research skills, synthesizing knowledge across disciplines or applying academic knowledge to real-life problems.

A3: Accomplishments

Demonstrate accomplishment of discovery/innovation/creativity through producing /constructing creative works/new artefacts, effective solutions to real-life problems or new processes.

Learning and Teaching Activities (LTAs)

LTAs		Brief Description	CILO No.	Hours/week (if applicable)
1	Seminars	Students will engage in interactive classes on the substantive issues of Commercial Contract Law, its concepts and its application.	1, 2, 3	2 hours/week

2	Tutorials	Students will integrate their substantive knowledge and develop functional skills and deeper understanding through discussion of practical problems and case studies.	1, 2, 3	0.75 hour/week
3	Guided individual studying	Students will develop basic independent research and critical assessment skills.	1, 2, 3	
4	Formative work	Students will apply legal principles and knowledge to practical situations.	1, 2, 3	0.25 hour/week

Assessment Tasks / Activities (ATs)

ATs		CILO No.	Weighting (%)	Remarks ("- for nil entry)	Allow Use of GenAI?
1	Class participation (Active involvement in class, which includes consistent attendance, engaging in thoughtful discussion, and maintaining focused attention during lectures).	1, 2, 3	20	The use of Generative AI tools is not allowed.	No
2	Mid-term quiz	1, 2, 3	10	The use of Generative AI tools is not allowed.	No

Continuous Assessment (%)

30

Examination (%)

70

Examination Duration (Hours)

2

Minimum Continuous Assessment Passing Requirement (%)

40

Minimum Examination Passing Requirement (%)

40

Additional Information for ATs

The use of Generative AI tools is not allowed.

The examination in the course is assessed by a 2-hour computer-based examination in a Computer Lab. The exam is an open book exam. Students can have access to all the course materials, their notes and their books in hard copy, during the exam as well as access to one language dictionary.

Applicable to students admitted before Semester A 2022/23 or in Semester A 2024/25 & thereafter

A student must obtain a minimum mark of 40% in both coursework and examination and an overall mark of 40% in order to pass a course.

Applicable to students admitted in Semester A 2022/23 to Summer Term 2024

A student must obtain a minimum mark of 50% in both coursework and examination and an overall mark of 50% in order to pass a course.

The HKSAR Government's Continuing Education Fund (CEF) recognizes the LLMArbDR individual courses (i.e. LW5303, LW6401, LW6405, LW6406, LW6407). The minimum attendance requirement for all CEF courses is 70%. For the purpose of claiming reimbursement of CEF course fee or the professional recognition, please note that it is the students' own responsibility to attend every class and examination during the teaching and examination periods.

Assessment Rubrics (AR)

Assessment Task

Coursework (for students admitted before Semester A 2022/23 and in Semester A 2024/25 & thereafter)

Criterion

Demonstration of ability to identify issues, current trends and practices.

Excellent

(A+, A, A-) Strong evidence of original thinking; good organization, capacity to analyse and synthesize; superior grasp of subject matter; evidence of extensive knowledge base.

Good

(B+, B, B-) Evidence of grasp of subject, some evidence of critical capacity and analytic ability; reasonable understanding of issues; evidence of familiarity with literature.

Fair

(C+, C, C-) Student who is profiting from the university experience; understanding of the subject; ability to develop solutions to simple problems in the material.

Marginal

(D) Sufficient familiarity with the subject matter to enable the student to progress without repeating the course.

Failure

(F) Little evidence of familiarity with the subject matter; weakness in critical and analytic skills; limited, or irrelevant use of literature.

Assessment Task

Examination (for students admitted before Semester A 2022/23 and in Semester A 2024/25 & thereafter)

Criterion

Demonstration of ability to identify issues, current trends and practices.

Excellent

(A+, A, A-) Strong evidence of original thinking; good organization, capacity to analyse and synthesize; superior grasp of subject matter; evidence of extensive knowledge base.

Good

(B+, B, B-) Evidence of grasp of subject, some evidence of critical capacity and analytic ability; reasonable understanding of issues; evidence of familiarity with literature.

Fair

(C+, C, C-) Student who is profiting from the university experience; understanding of the subject; ability to develop solutions to simple problems in the material.

Marginal

(D) Sufficient familiarity with the subject matter to enable the student to progress without repeating the course.

Failure

(F) Little evidence of familiarity with the subject matter; weakness in critical and analytic skills; limited, or irrelevant use of literature.

Assessment Task

Coursework (for students admitted from Semester A 2022/23 to Summer Term 2024)

Criterion

Demonstration of ability to identify issues, current trends and practices.

Excellent

(A+, A, A-) High

Good

(B+, B) Significant

Marginal

(B-, C+, C) Moderate

Failure

(F) Inadequate

Assessment Task

Examination (for students admitted from Semester A 2022/23 to Summer Term 2024)

Criterion

Demonstration of ability to identify issues, current trends and practices.

Excellent

(A+, A, A-) High

Good

(B+, B) Significant

Marginal

(B-, C+, C) Moderate

Failure

(F) Inadequate

Part III Other Information

Keyword Syllabus

The following is a detailed syllabus for the course. Please note that syllabus may change, where and when necessary, to accommodate the course objectives.

Week 1: Introduction

Part 1: The Foundations of Commercial Contract

Week 2: The Importance & Formation of Commercial Contracts

Week 3: Determining The Governing Law: Key Issues

Week 4: Determining The Governing Law: Principles

Week 5: Practical Approaches to Choosing the Governing Law

Part 2: Resolving Commercial Contract Disputes

Week 6: Dispute Resolution Clauses in Commercial Contracts

Week 7: Revision Quiz

Week 8: Litigation of Commercial Contract Disputes in National Courts

Week 9: Arbitration of Commercial Contract Disputes

Part 3: Structuring and Refining Commercial Contracts

Week 10: Risk Allocation and Unforeseen Events

Week 11: Contract Integrity

Week 12: Evidence in Commercial Contract Disputes

Week 13: The Future of International Contracts & Revision

Reading List

Compulsory Readings

Title	
1	A reading list will be provided containing the cases and materials which need to be studied and reference to relevant book chapters.
2	(Compulsory readings can include books, book chapters, or journal/magazine articles. There are also collections of e-books, e-journals available from the CityUHK Library.)
3	Julien Chaisse, Advanced Introduction to International Commercial Contracts (London: Elgar Advanced Introductions series, Edward Elgar Publishing, 2025) 236 p [ISBN: 978 1 03534 265 5]

Additional Readings

Title	
1	Recommended (Additional references for students to learn to expand their knowledge about the subject.)
2	Mark Anderson and Victor Warner, Drafting and Negotiating Commercial Contracts, 4th edition (London: Bloomsbury Professional, 2016).
3	Mark Anderson and Victor Warner, A-Z Guide to Boilerplate and Commercial Clauses, 4th edition (London: Bloomsbury Professional, 2017).
4	Eckart Broedermann, UNIDROIT Principles of International Commercial Contracts (The Hague: Kluwer, 2018).
5	Giuditta Cordero-Moss (ed) Boilerplate Clauses, International Commercial Contracts and the Applicable Law (London: Cambridge University Press, 2011).
6	Giuditta Cordero-Moss, International Commercial Contracts: Applicable Sources and Enforceability (Cambridge University Press 2014).
7	Charles Chatterjee, Negotiating Techniques in International Commercial Contracts (London: Routledge, 2017).
8	Ylli Dautaj and William Fox, International Commercial Agreements (Kluwer Law International 2023).
9	Andrew Hutchison and Franziska Myburgh, Research Handbook on International Commercial Contracts (Edward Elgar 2020).
10	Michael Griffiths and Stuart Williams, Commercial Contracts: A Practical Guide to Negotiating and Drafting (London: ICSA Publishing, 2013).

11	Maren Heidemann and Joseph Lee, <i>The Future of the Commercial Contract in Scholarship and Law Reform: European and Comparative Perspectives</i> (Springer 2018).
12	Richard Lawson and Susan Singleton, <i>Commercial Contracts A Practical Guide to Standard Terms</i> , 3rd edition (London: Bloomsbury Professional, 2011).
13	Gustavo Moser and Michael McIlwraith, <i>Negotiating International Commercial Contracts</i> (The Hague: Boom uitgevers, 2020).
14	Rex Nwakodo, <i>Tolley's Commercial Contracts, Transactions and Precedents</i> , 2nd edition (London: Tolley, 2015).
15	Resources for Commercial Contracts: Statutory Provisions, A-national Rules, and Case Law
16	A-national Rules and International Resources for Commercial Contracts
17	In international commercial transactions, parties often rely on a-national rules or transnational principles to avoid being bound by any single country's laws. These frameworks provide neutral, globally recognized standards for governing international contracts.
18	1. Albert H. Kritzer CISG Database (Pace CISG Database) - (i) Overview: The largest collection of case law related to the CISG (United Nations Convention on Contracts for the International Sale of Goods), with over 3,000 decisions and full-text translations. (ii) Relevance: Key resource for understanding how CISG is applied to international commercial contracts for the sale of goods. (iii) Link: https://iicl.law.pace.edu/cisg/cisg
19	2. Case Law on UNCITRAL Texts (CLOUT) - (i) Overview: Official case law system created by UNCITRAL to ensure uniform interpretation of its conventions, such as the CISG. (ii) Relevance: Provides insights into how international contracts are governed and interpreted under UNCITRAL conventions. (iii) Link: https://uncitral.un.org/en/case_law
20	3. UNILEX on CISG & UNIDROIT Principles - (i) Overview: A database of case law on the CISG and UNIDROIT Principles, which are often used in international commercial contracts when parties want a neutral set of rules. (ii) Relevance: Helps in interpreting and applying UNIDROIT Principles, which are a popular choice for governing international contracts outside of national laws. (iii) Link: UNILEX Database (http://www.unilex.info/)
21	4. Trans-Lex Principles - (i) Overview: Aimed at codifying Lex Mercatoria, the law of merchants, which supports transnational commercial practices. It includes arbitral awards, court decisions, and academic commentary. (ii) Relevance: A-national rules like Lex Mercatoria are essential for parties wishing to avoid specific national laws in favor of neutral international commercial principles. (iii) Link: Trans-Lex Principles (http://www.trans-lex.org/)
22	5. CISG Digest - (i) Overview: Created by UNCITRAL, the CISG Digest provides case law summaries on how various articles of the CISG have been interpreted. (ii) Relevance: Crucial for legal professionals who need to understand the article-by-article application of the CISG in cross-border sales contracts. (iii) Link: CISG Digest (https://uncitral.un.org/)
23	6. National Case Law Databases - (i) Overview: Various national databases offer access to CISG case law specific to their jurisdictions. The Pace CISG Database links to many of these resources. (ii) Relevance: Allows users to understand how the CISG is applied in specific countries, which is important for drafting international contracts. (iii) Link: http://www.cisg.law.pace.edu/
24	Statutory Provisions for Commercial Contracts (Hong Kong)
25	In Hong Kong, several key statutory provisions govern commercial contracts, ensuring fair and lawful practices in business dealings. The following laws apply to different aspects of commercial transactions:
26	1. Sales of Goods Ordinance (Cap 26) - (i) Overview: This ordinance regulates contracts for the sale of goods, specifying implied terms regarding the quality, title, and fitness for purpose of goods sold. It ensures that buyers are protected in commercial sales transactions, even if certain terms are not explicitly included in a contract. (ii) Link: Sales of Goods Ordinance (Cap 26) (https://www.elegislation.gov.hk/)
27	2. Supply of Services (Implied Terms) Ordinance (Cap 457) - (i) Overview: This ordinance implies certain terms into contracts for the supply of services, such as the requirement for services to be performed with reasonable care and skill. It safeguards consumers and businesses alike by ensuring that service contracts adhere to a minimum standard of quality. (ii) Link: Supply of Services (Implied Terms) Ordinance (Cap 457) (https://www.elegislation.gov.hk/)
28	3. Control of Exemption Clauses Ordinance (Cap 71) - (i) Overview: This legislation controls the use of exemption clauses in contracts, particularly those that seek to limit or exclude liability for breach of contract. It ensures that such clauses are subject to reasonableness, protecting contracting parties from unfair terms. (ii) Link: Control of Exemption Clauses Ordinance (Cap 71) (https://www.elegislation.gov.hk/)

29	4. Misrepresentation Ordinance (Cap 284) - (i) Overview: The ordinance addresses the issue of misrepresentation in contracts. It allows a party to rescind a contract if they have been misled by a false statement of fact made by the other party, thereby ensuring fairness and transparency in contractual relationships. (ii) Link: Misrepresentation Ordinance (Cap 284) (https://www.elegislation.gov.hk/)
30	5. Unconscionable Contracts Ordinance (Cap 458) - (i) Overview: This ordinance provides protection against unconscionable contracts, particularly in consumer transactions. It allows courts to modify or set aside contracts that are deemed excessively unfair or one-sided. (ii) Link: Unconscionable Contracts Ordinance (Cap 458) (https://www.elegislation.gov.hk/)
31	6. Contracts (Rights of Third Parties) Ordinance (Cap 623) - (i) Overview: This ordinance allows third parties to enforce contractual terms if the contract explicitly provides for it or if the contract confers a benefit on them. This deviates from the traditional privity of contract rule, which only allows parties directly involved in the contract to have enforceable rights. (ii) Link: Contracts (Rights of Third Parties) Ordinance (Cap 623) (https://www.elegislation.gov.hk/)